

Weekend Consumer Blast: Whatever happened to Howard Johnson? The lifecycle of a hotel brand

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By Richard Clarke

When was the last time you stayed (or ate) at a Howard Johnson? Arguably the originator of the hospitality franchise in the 1940/50s, the brand went from a peak of more than 1,500 locations in the 1970s (nb 30 years after post-WW2 relaunch) to ~120 today. Has America fallen out of love with hamburgers, ice-cream and colorful hotel rooms? It doesn't seem so - hospitality brands simply have a lifecycle. Crowne Plaza also illustrates this well - Crowne Plaza launched in 1983 as Holiday Inn Crowne Plaza and rebranded to Crowne Plaza Hotels in 1994. In 2019, we wrote a note claiming fixing Crowne Plaza would be like launching a new brand ([IHG: IHG's problem child. Turning around Crowne Plaza would be like launching a new brand](#)). But again maybe Crowne Plaza had simply had its time. In the US, the pipeline peaked in 2008 at 43 hotels, 25 years post launch; total hotels peaked at 210, 28 years post launch. Even factoring in that these peaks coincided with the pre-GFC hubris and the post-GFC decline, this trend of a pipeline peak 25-30 years post launch and a room peak ~30-35 years post launch is remarkably consistent across major US hotel brands. Crowne Plaza currently has 429 hotels globally and a US pipeline of 5 hotels. Luxury brands can achieve heritage, mainstream brands cannot and will eventually run out of steam and shrink.

We often get asked why hotel groups have so many brands, and normally offer an answer of customer segmentation and opportunity to perfect for higher returns, but we supplement this with an argument that this is also a necessity - brands have a lifecycle and every brand passing through the peak has to

be replaced by one in the fast adoption phase. Those groups that reinvent their brand portfolio at the right time look set to outperform over the longer term.

This is a consumer blast not a true research piece, and hence we take certain liberties on assumed launch dates and which brands we choose to look at. For example, Quality Inn (Howard Johnson's biggest rival for franchise pioneer) achieved growth well beyond 30 years but enjoyed a brand split and reinvigoration in the 1990s that few others seem to have pulled off. Overall, however we expect the conclusions hold weight.

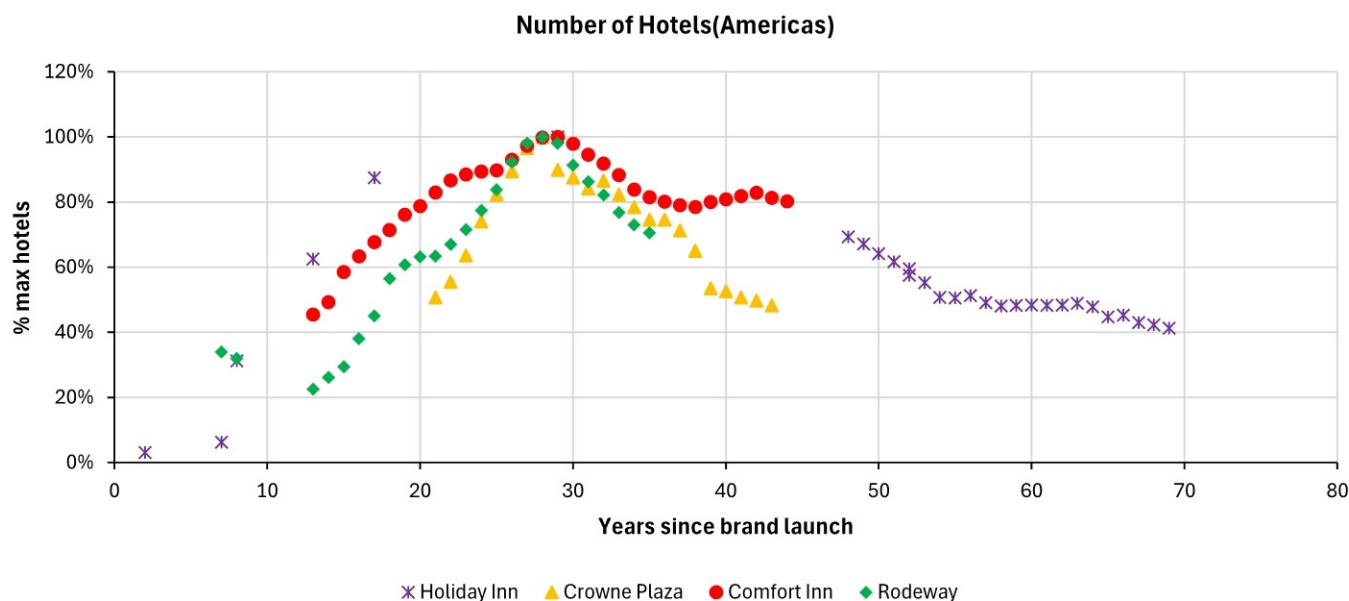
EXHIBIT 1: A Howard Johnson's motor lodge in Panama City (in the 60's)



Source: Florida Memory

KEY CHART

EXHIBIT 2: Across many of the largest hotel brands in the US the number of hotels has tended to peak at ~30 years



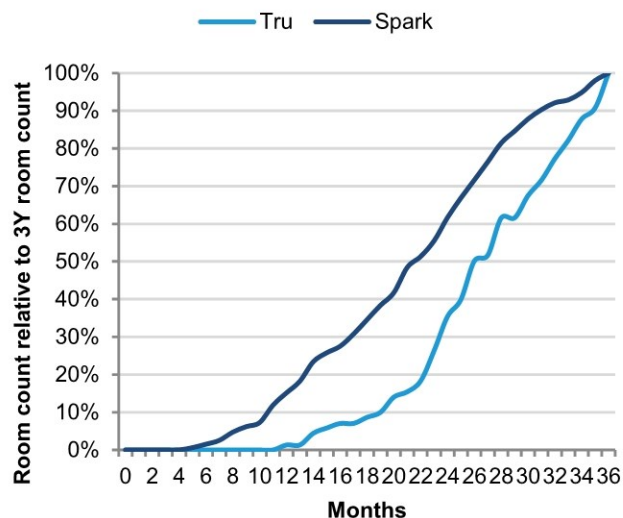
Source: Company reports, Bernstein analysis

THE HOTEL BRAND LIFECYCLE

Early growth - New (asset light) hotel brands are difficult to create. Brand owners have to convince third parties to take a risk and invest capital to open new hotels under their brand, often with little evidence of prior brand performance. As such many brands move slowly at first, adding a small number of hotels to the pipeline initially, which slowly flow through to supply, before accelerating - for example Hilton's Tru, launched in 2016 took ~24 months for the number of hotel rooms to meaningfully inflect upwards. Here conversion brands can offer more initial momentum, with a much lower initial investment and far shorter time to flow through from the pipeline. Although the shape of the early stages of a brands' lifecycle can be similar, brands can vary drastically in performance. Comparing the first ~8.5 years of growth for Hilton's Tru and IHG's Avid shows the different growth paths between two fairly similar brands - the discrepancy was apparent after the first 3 years of the brands' existence.

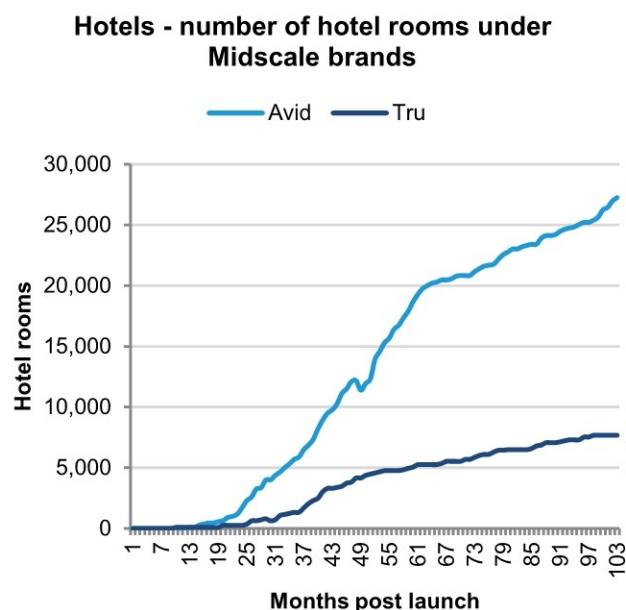
EXHIBIT 3: Hilton's Spark brand saw an upward inflection in the pace of additions within 12 months of launching

Hilton brands - Room count relative to room count after 3 years of launch



Source: CoStar, Bernstein analysis

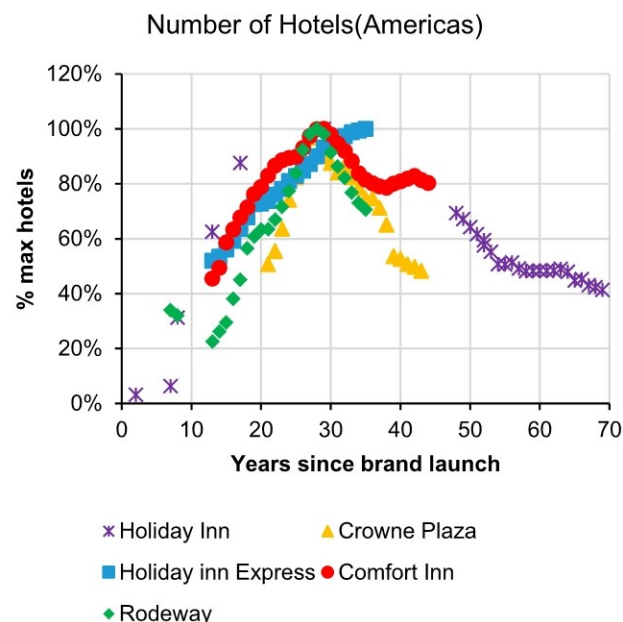
EXHIBIT 4: **Not all brands are created equal though, similarly targeted brands can see very different success - the first 3 years provide a strong indication of potential**



Source: CoStar, Bernstein analysis

The peak - After the early acceleration, the successful hotel brands tend to face a steady upwards trajectory, with a relatively consistent number of hotels added annually, until at roughly 30 years the total number of hotels begins to peak, with the pipeline soon to follow, tending to peak 5 years later at ~35 years. After 30 years brands typically then see a decline, stabilizing into the future well below the initial peak. However, the stabilized range is not homogeneous - Comfort Inn has seen its footprint stabilize at 80% of its maximum, while Holiday Inn has settled at ~40%.

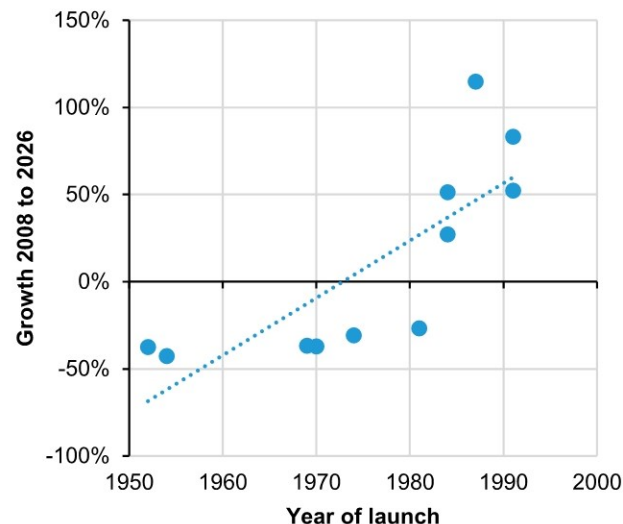
EXHIBIT 5: **Hotel brands tend to peak ~30 years after creation**



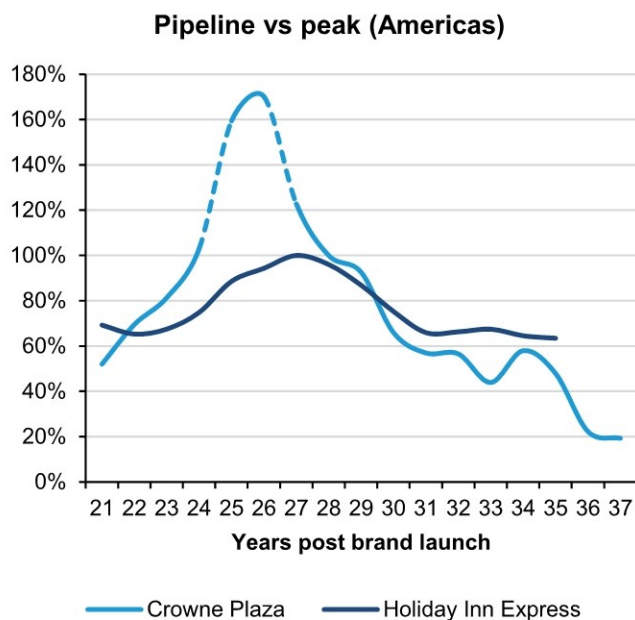
Source: Company reports, CoStar, Bernstein analysis

EXHIBIT 6: **No mainstream brands launched before the early 80's delivered growth from 2008-2026**

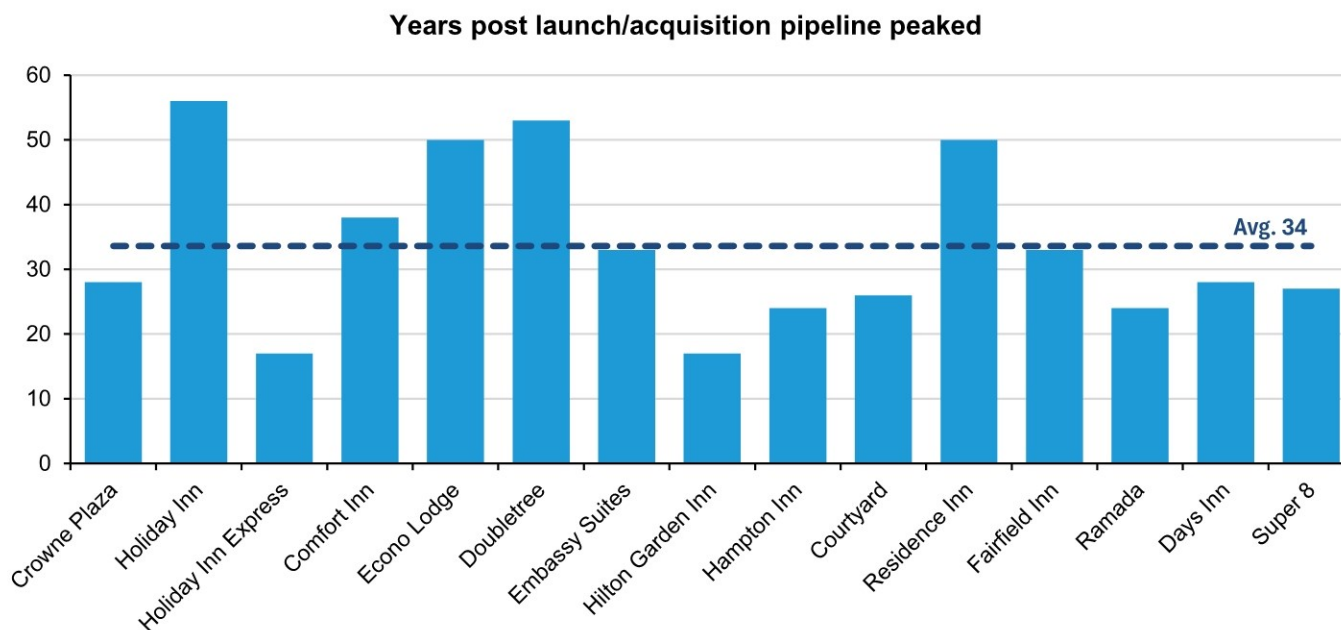
Room growth 2008-2026 by brand launch year (Upscale and below)



Source: CoStar, Bernstein analysis

EXHIBIT 7: Similarly pipelines tend to peak (ex-some pre GFC over optimism)


Source: Company reports, Bernstein analysis

EXHIBIT 8: On average hotel brand pipelines have peaked after 34 years, shortly after the total hotel number peaks


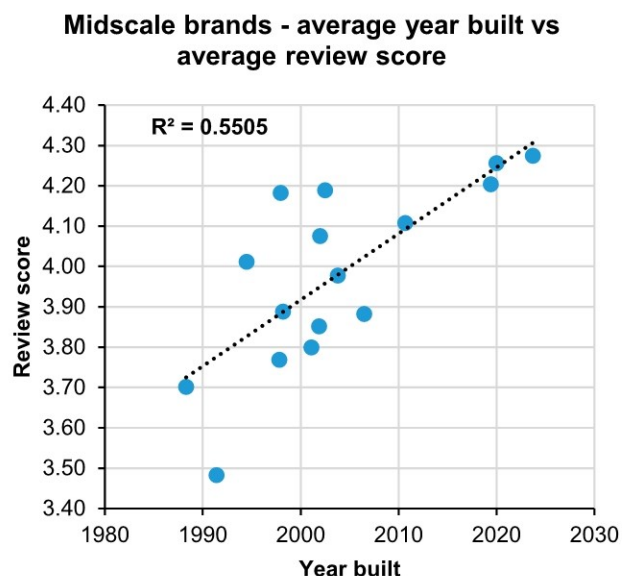
Source: Company reports, CoStar, Bernstein analysis

WHY DO BRANDS PEAK?

There are some key reasons we see that would explain a brand seeing rooms peak after 25-30 years:

- **Newer hotels are preferred by guests** - Newer hotels receive better review scores from guests in the mainstream segments. As hotel brands age, the hotels within their brand will begin to show wear and tear, and if not properly maintained by owners, will eventually weigh on the perception of the brand. The older a brand is the greater the likelihood of older hotels under the brand, eventually weighing on the RevPAR even new hotels can deliver, meaning incremental developers are likely to move to other brands in search of a better ROI, and the more likely hotels will need to be removed to maintain brand standards.
- **Guest preferences change** - Over time consumer preferences are not fixed, yet brand standards tend to be relatively more static. For example, consumer preferences have shifted away from the offerings of a 'full service' hotel (an on site restaurant, meeting spaces, a manned front desk, etc.) and have instead shifted towards limited service offerings - a headwind to Holiday Inn (a full service brand), which is more expensive to run due to offering amenities guests are no longer willing to pay for. The older a brand the more likely guest preferences are to move against it. The recent strength of extended stay ROI relative to Upscale is a big driver for the relative strength in the relatively newer extended stay segment ([Exhibit 10](#)).
- **Running out of whitespace** - It is not uncommon for hotels to cluster in locations with high lodging demand. However, brand owners will avoid allowing hotels under the same brand to cluster too closely, both to protect its incumbent owners, and to maximize future owners' returns. The result is eventually brands run out of locations that can take incremental hotels under a brand. This issue can be particularly acute at the high end, where the number of markets that can accommodate a Luxury hotel are limited, and the scarcity of a brand is a bigger driver of pricing.
- **Franchise contract lengths mean declines are unlikely within the first ~20 years.** Given most franchise contracts are 10-20 years long, churn is highly unlikely for the first 2 decades of a brand's existence.

EXHIBIT 9: Similarly in the Midscale segment older hotels receive weaker review scores



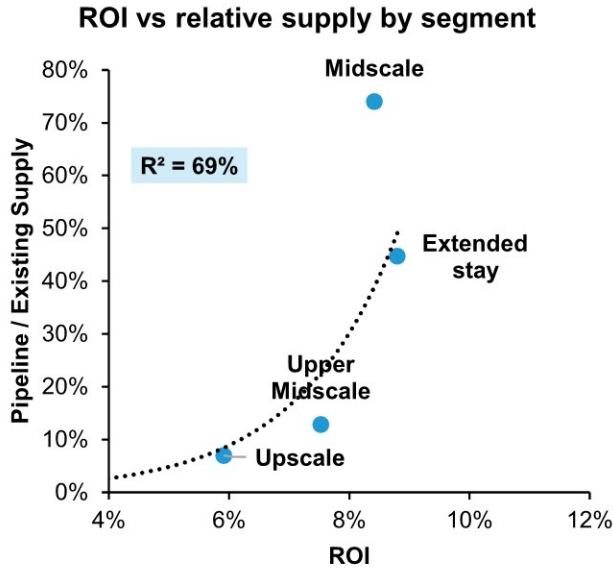
Source: Google Hotels, Bernstein analysis

EXHIBIT 10: ROI differs between brands, but some of this is driven by the chain scale that the brand operates in - we see that generally higher chain scale brands deliver lower ROIs



Source: Company reports, Franchise Disclosure Documents, Bernstein analysis

EXHIBIT 11: ROI is a strong predictor of relative pipeline size although Midscale hotels outperform the trend on ROI



Source: STR, Bernstein analysis

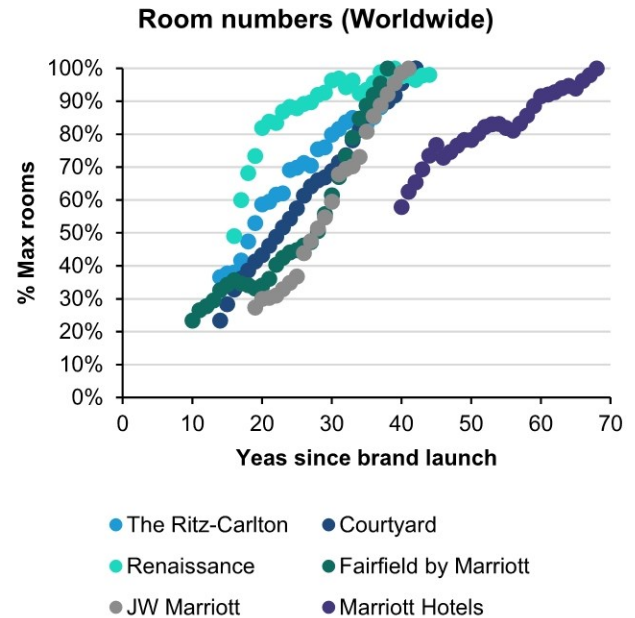
CAN BRANDS DEFEY THE 30 YEAR PEAK?

The two key ways where we see brands persistently defy the peak are through:

1. **International expansion** - While brands face issues of an aging incumbent hotel base within brands, running out of whitespace, and shifting consumer tastes, expanding internationally can help to solve a number of these issues. A brand can reposition itself in a new international market, which along with new whitespace, provides a somewhat blank canvas away from the incumbent aging hotels under the brand in a different market, and able to tweak the brand format to appeal to changes in consumer tastes. On a global basis we do not see the same 30-year peaks with hotel brands that we do when looking at specific markets.
2. **Owner operated brands** - While an asset light brand is somewhat exposed to the whims of its owner base when it comes to maintaining brand standards, when the brand owner also wholly owns the hotels they can be far more rigorous in maintaining standards, and preventing aging hotels from reducing brand perception. They also have far less ability to switch to a new brand format to cater to shifts in consumer taste, so much also do more work to stay current with consumer tastes. For example in the UK Whitbread's Premier Inn brand is almost 40 years old and still seeing growth - although this growth has slowed, with whitespace becoming a greater concern.

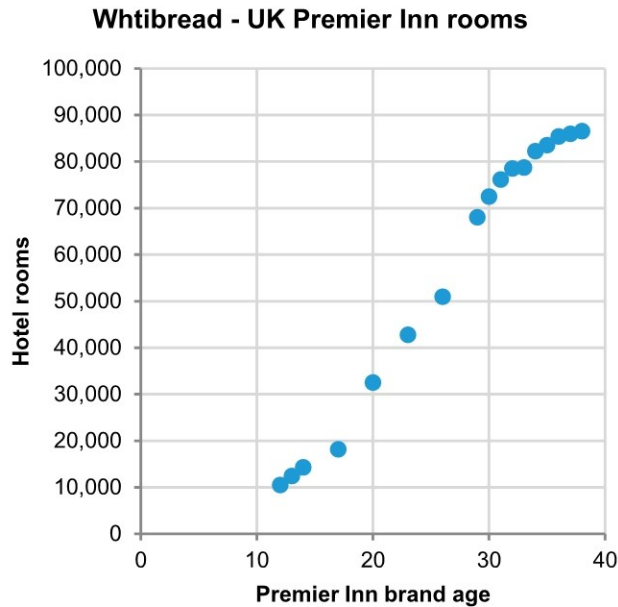
3. **Luxury brands** - Luxury brands do not tend to see the same decline in quality as their hotels age, while older Luxury brands tend to be more highly appreciated by customers - investment in the brand and the brand standards are far more important at the top end, where premium pricing can be driven from brand value. As such Luxury brands are far less likely to see the same drop off post ~30 years - and we see no correlation between brand launch year and growth within luxury.

EXHIBIT 12: On a worldwide basis we don't see the same 30 year peak for brands



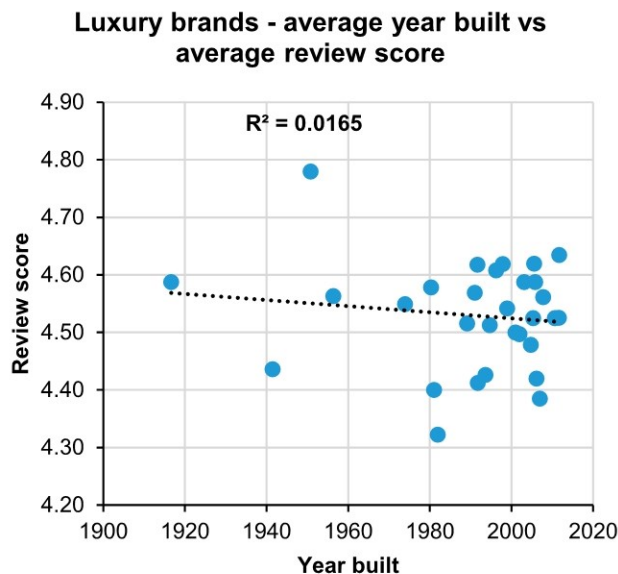
Source: Company reports, Bernstein analysis

EXHIBIT 13: **Whitbread has also been able to push past the 30 year peak (albeit with the UK room count beginning to plateau as we approach 40 years)**



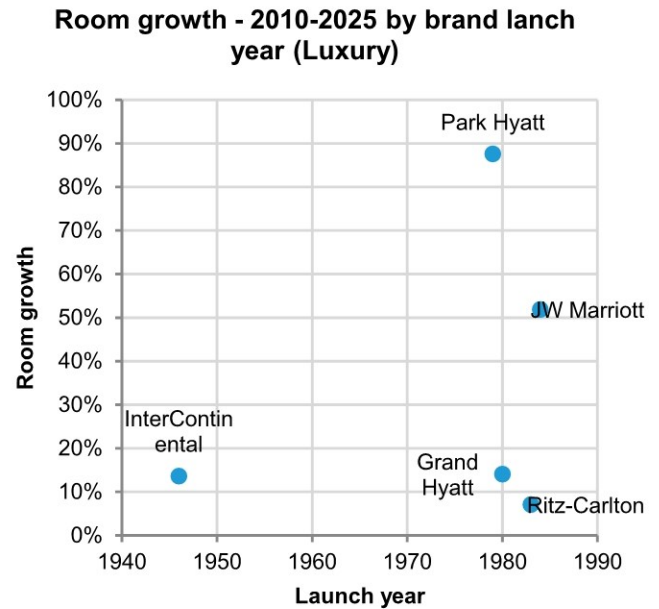
Source: Company reports, Bernstein analysis

EXHIBIT 14: **We see little correlation between hotel age and average review score in the luxury segment, and a slightly negative slope**



Source: Google Hotels, Bernstein analysis

EXHIBIT 15: **In Luxury there is no correlation between brand age and growth - InterContinental still delivered growth from 2010-2025 despite turning 80 years old this year**



Source: CoStar, Bernstein analysis

EXHIBIT 16: **Intercontinental have just opened their Red Sea Resort, despite the brand turning 80 years old in 2026**



Source: Company website

EXHIBIT 17: Hyatt are set to open the Grand Hyatt Miami Beach in 2027 - under a 46 year old brand



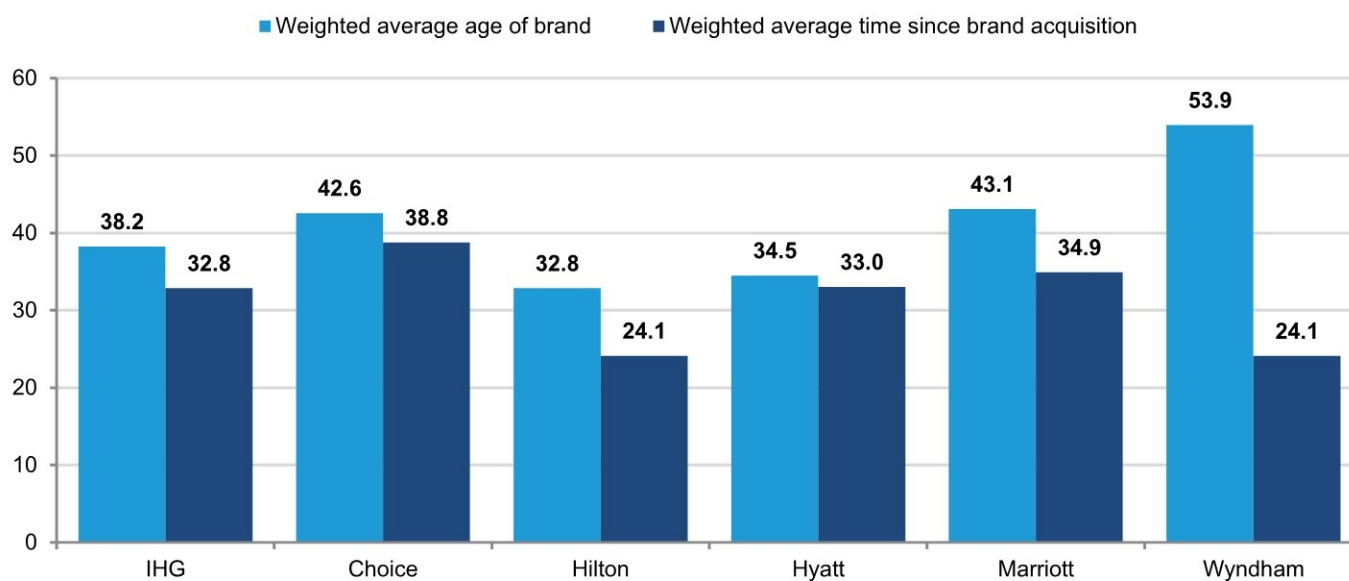
Source: Company website

WHAT DOES THIS MEAN FOR THE COMPANIES?

The clearest implication from this analysis is that the hotel groups with newer brands, which still have some time left before the brands hit the 30-year peak, are best positioned for growth. Perhaps unsurprisingly Hilton and Hyatt come out best - both have the youngest brand portfolio, and also lead the industry on NUG, the age profiles of their brands would imply a continued growth advantage.

EXHIBIT 18: Hilton and Hyatt have the 'newest' brands among the asset light hotel groups

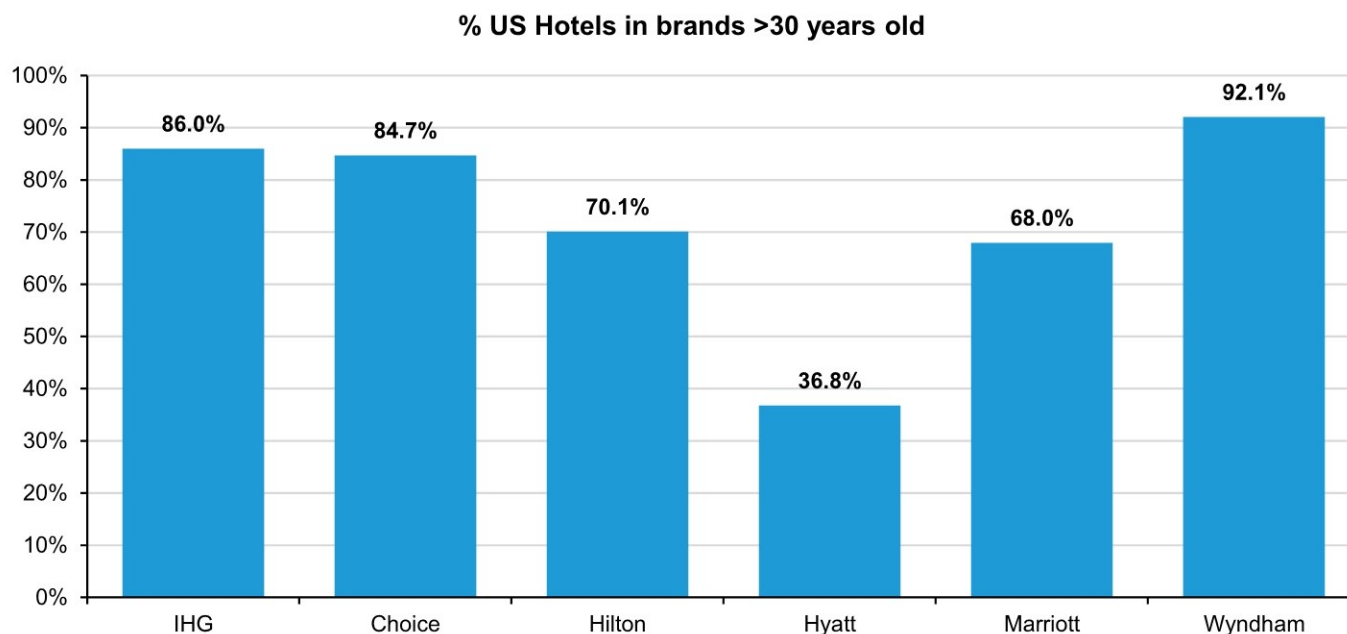
Hotels - Age of hotel brands by owner (years)



Wyndham not covered

Source: Company reports, CoStar, Bernstein analysis

EXHIBIT 19: In the US specifically Hyatt and Hilton look to have the newest brands, and should be off the peak room count for 64% and 30% of their brands respectively



Wyndham not covered

Source: Company reports, CoStar, Bernstein analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	25 Jun 2026		TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing Price	Price Target		Cur	2025A	2026E	2027E	2025A	2026E	2027E
MAR (Marriott)	O	USD	378.91	402.00	21.7%	USD	10.02	11.53	13.30	37.8	32.9	28.5
HLT (Hilton)	M	USD	340.55	320.00	13.5%	USD	8.11	8.96	10.28	42.0	38.0	33.1
H (Hyatt)	O	USD	197.01	202.00	22.9%	USD	2.25	4.03	5.17	87.5	48.8	38.1
IHG.LN (IHG)	M	USD	172.65	154.00	32.9%	USD	5.01	5.69	6.48	34.4	30.4	26.6
BKNG (Booking)	M	USD	177.05	188.00	(40.1)%	USD	9.12	10.53	12.29	19.4	16.8	14.4
EXPE (Expedia)	M	USD	250.95	253.00	30.6%	USD	15.86	20.92	25.20	15.8	12.0	10.0
TRIP (TripAdvisor)	O	USD	12.80	20.00	(18.4)%	USD	1.27	1.30	1.88	10.1	9.8	6.8
ABNB (Airbnb)	O	USD	141.88	168.00	(11.4)%	USD	4.03	5.44	6.65	35.2	26.1	21.3
SPX			7,357.49									
EDME			1,591.52									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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